

US 114050 · NQF LEVEL 5 · 4 CREDITS

Explain the Principles of Business and the Role of Information Technology



Forms of enterprise, business objectives and the environment within which businesses operate

TIME	SESSION	MODULE	QUALITY ASSURANCE
90 minutes · Self & Group	Friday, 21 Aug 2026 · 09h00 – 14h00	Module 1 · Professional Team Development	QCTO / MICT SETA

What you must be able to do

Specific outcome: explain the principles of business and the role of information technology. You will be assessed against these criteria:



Types of business organisations

Distinguish sole trader, partnership, limited, private and public companies.



Common objectives

Outline the objectives businesses pursue — buying & selling, profit, charity, social clubs.



Business environment

Outline the environment within which businesses operate.



Choose your own business setup as you work through this lesson — every form of enterprise you meet is a candidate.

Four ways to own a business

The different types of businesses — from which you must choose your own setup.



Sole Proprietor

One owner, no partners. No formal registration — but if the business fails, you personally become insolvent.



Partnership

Two to 20 people making and sharing profits. Partners are jointly and severally liable for its debts.



Closed Corporation

A simple, flexible, inexpensive legal person for up to ten natural persons.



Company

The most advanced form — limits liability and improves access to capital. Private or public.

Private vs public company

Two types of profit-seeking companies are found in South Africa. The most important differences:

	Private Company	Public Company
Members (shareholders)	Between one and 50	At least seven
Directors	At least one	At least two
Shares	May not be offered to the public	May be offered to the public
Transfer of shares	Needs the board's consent	Freely transferable
Name ends with	(Pty.) Ltd.	Ltd. or Limited
Legal requirements	Fewer requirements	Numerous requirements

Closed corporations (CC)

- A simple, flexible, inexpensive legal structure for up to ten natural persons in business together.
- Maximum ten members; must be registered with the Registrar of Closed Corporations in Pretoria.
- A legal person — it can enter into contracts, operate a bank account, own property, sue or be sued.
- Formed by its members but exists independently — it continues even if membership changes or all members die.
- Established, run and terminated only in terms of the Closed Corporations Act.
- Each member holds an interest (a percentage); the interests must always add up to 100 percent.
- A company, corporation or trust may not be a member of a closed corporation.

Partnerships

- A business association concluded between people who intend making and sharing profits.
- Not a legal person — its rights, duties and liabilities bind the individual partners.
- Minimum of two and maximum of 20 partners (certain professional partnerships may have more).
- Each partner is an agent of the partnership and binds all the other partners.
- Partners are jointly and severally liable for partnership debts; insolvency sequestrates every partner's estate.
- Always have a properly worded agreement drawn up by an attorney — covering death of a partner or dissolution.

Sole proprietor

- Only one person owns the business — there are no partners or co-owners.
- No formal registration, administration or termination; no statutes regulate sole owners.
- You do not have to work alone — you may employ people to help you run the business.
- If the business becomes insolvent, you personally become insolvent.

BEFORE YOU START: RESEARCH THE NEED

Your skills · your interests · other commitments · is there a market? · who is it? · how big? · the competition · growing or stagnant? · premises or home? · capital · right size · working hours · staffing · the risk

CHOOSING YOUR IDEA

New, existing or franchised?

Rate each idea against the research criteria on a scale of 1–10.



Start a new business

Your own idea from scratch — rate it against the checklist: skills, market, competition, capital, risk.



Buy an existing one

Revenue from day one with customers and suppliers in place — but you pay for goodwill and there may be unseen flaws.



Open a franchise

The in-between: a new business that is also a known brand. “A marriage between a big business and a small business.”

According to the South African Franchise Association, franchising is about to explode in South Africa.

Franchisor and franchisee



The franchisor

A person or company with a highly marketable product or service. Achieves rapid expansion at relatively low cost.



The franchisee

Licensed to perform the marketing function; provides most of the capital. Gains big-business purchasing and advertising advantages.

The small size of the franchisee's business keeps small-business advantages — personal dedication and commitment — making franchising particularly suited to service businesses, at relatively low risk.

Advantages of franchising

- Far greater chances of success — the franchisor supplies goods or services more cheaply.
- The franchisor obtains bigger discounts by buying in bulk for his outlets.
- The franchisee starts with a product or service that has an existing, acceptable image.
- Customers know the business, even if the outlet is new — an accepted brand from the start.
- A complete package: operations manual, accounting system, marketing, outlet design, staff training.
- Ongoing management advice — every outlet's success is in the franchisor's own interest.

Disadvantages — and what you need

DISADVANTAGES

- Selling rights restricted to a particular area only
- Strict franchisor controls for uniform quality and cleanliness
- Risk of becoming too dependent on the franchisor
- It costs money — initial franchise fees plus ongoing royalties

WHAT YOU NEED

- The qualities of a successful entrepreneur
- A thorough investigation of the franchisor's track record
- Contact with existing franchisees; established training
- An attorney to scrutinise the franchise agreement — fair to both parties
- Loans come easier to franchises because of the reduced risk

What are franchised businesses?

Think McDonald's, Steers, Spar, Shoprite — the same name and goods at the same prices.

- The largest criterion: every outlet must look uniformly the same and sell the branded products the franchisor suggests.
- Products are increasingly labelled as “house brands” — a building tool for the franchise brand name.
- The brand gives consumers peace of mind: the same quality from one outlet as from the next.
- This is the brand consumers long for — confidence in the quality of the product they are buying.

Aims, objectives and mission statements

A sole trader may have unstated aims — like surviving the first year. Others state exactly what they aim to do: Amazon wants to “make history and have fun”.



An aim

Where the business wants to go — its goals. E.g. “we want to grow the business into Europe.”



Objectives

Stated, measurable targets for achieving the aims — e.g. “€10 million of European sales in 2004.”



A mission statement

Sets out the vision and values so staff, customers and suppliers understand the basis for the business's actions.

SMART objectives

Objectives give a clearly defined target — plans can be made and progress measured.



S — Specific

Aimed at what the business does, e.g. a hotel filling 60% of its beds a night.



M — Measurable

A value can be put on it, e.g. €10,000 in sales in the next half year.



A — Agreed

By all those concerned in trying to achieve the objective.



R — Realistic

Challenging, but achievable with the resources available.



T — Time specific

A time limit for achievement, e.g. by the end of the year.

The main objectives businesses pursue



Survival

Short-term — new businesses, new entrants to a market, or a time of crisis.



Profit maximisation

Make the most profit possible — the likely aim of the owners and shareholders.



Profit satisfying

Enough profit to keep the owners comfortable — without working longer hours.



Sales growth

Make as many sales as possible — survival through size and economies of scale.

When objectives conflict — and why they change

WHEN OBJECTIVES CONFLICT

- Growth vs profit: price cuts lift short-term sales but reduce short-term profit.
- Short term vs long term: cash flow drops now while investing in new products and equipment.
- Large Stock Exchange investors are often accused of chasing short-term performance.

WHY OBJECTIVES CHANGE

- An objective is achieved and a new one is needed — survival in year one, profit in year two.
- Competitors launch new products or cut prices, so targets must be revised.
- Technology changes product designs, so sales and production targets change too.

Not all businesses seek profit or growth



Ethical businesses

The Co-op, the Body Shop — led by beliefs about the environment and people.



Public corporations

Profit plus a public service — e.g. cheap, accessible transport.



Public regulators

Monitor the private sector — ensuring businesses comply with the law.



Health & education

Most private schools have charitable status; the aim is educating pupils.



Charities & voluntary

Aims and objectives led by the beliefs they stand for.

Your work for this unit standard



Questioning session

Distinguish the forms of enterprise and outline the objectives — typed answers, AI-marked.



Knowledge check quiz

10 questions on everything in this lesson. 80%+ is competent.



Self assessment

Be honest with yourself — tick what you can do, write goals for the rest.



Logbook project — Research

Compile a project showing how IT is used in everyday business. Mark it 114050.



Know the business — then support its technology.

Forms of enterprise → researching the idea → franchising → aims, SMART objectives and the environments businesses operate in — the business context every IT systems support professional works inside.